OXFORD ECONOMICS

Another rate hike is on the cards

- Key changes: We've added a further rate hike by Norges Bank to our baseline, as the comments after June's meeting suggest the bank is still worried about inflation expectations becoming permanently de-anchored. We've lowered our 2026 mainland GDP forecast by 0.2ppts to 1.2% as growth since H2 2025 has been weaker than we initially thought, although this was exacerbated by volatility in specific industries. We still expect quarterly growth to be robust over the rest of 2026.
- Short-term forecast: Near-term GDP growth remains supported by loose fiscal policy and low unemployment. High interest rates haven't encouraged a sharp increase in household saving – private consumption has continued its recent healthy momentum. Still, high global policy uncertainty and rising interest rates, as Norges Bank hikes again, will continue to weigh on business investment.
- What to watch out for: Recent positive developments on ending the US-Israel war with Iran have removed some downside risk from our baseline, although the situation and its implications for growth remain highly volatile. More renewables in electricity generation and the significant uptake of state-subsidised fixed price electricity contracts by households mean we don't expect a spike in electricity prices akin to the crisis of 2022-2023.

Table 1: Norway forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
Mainland GDP	1.3	0.7	1.7	1.2	1.9	1.8
GDP	0.6	1.4	1.2	1.6	1.3	1.1
Private consumption	-0.7	1.6	2.7	1.8	2.3	2.0
Consumer prices	5.5	3.2	3.0	3.3	2.7	2.5
Industrial production	0.0	4.8	0.6	-0.1	-1.5	-0.6
Employment	1.0	0.4	0.5	0.5	1.0	0.9
Unemployment rate (%)	3.6	4.0	4.5	4.7	4.2	3.9
Current a/c balance (% of GDP)	17.1	15.0	14.2	17.8	11.3	7.0
Government balance (% of GDP)	15.9	12.7	10.4	8.1	7.8	7.3
Central bank policy rate (%, EOP)	4.50	4.50	4.00	4.50	4.00	3.50
10yr govt. bond yield (%, EOP)	3.30	3.89	4.20	4.25	4.08	3.97
Exchange rate (Kroner per Euro, EOP)	11.24	11.80	11.84	10.93	10.66	10.41

Source: Oxford Economics

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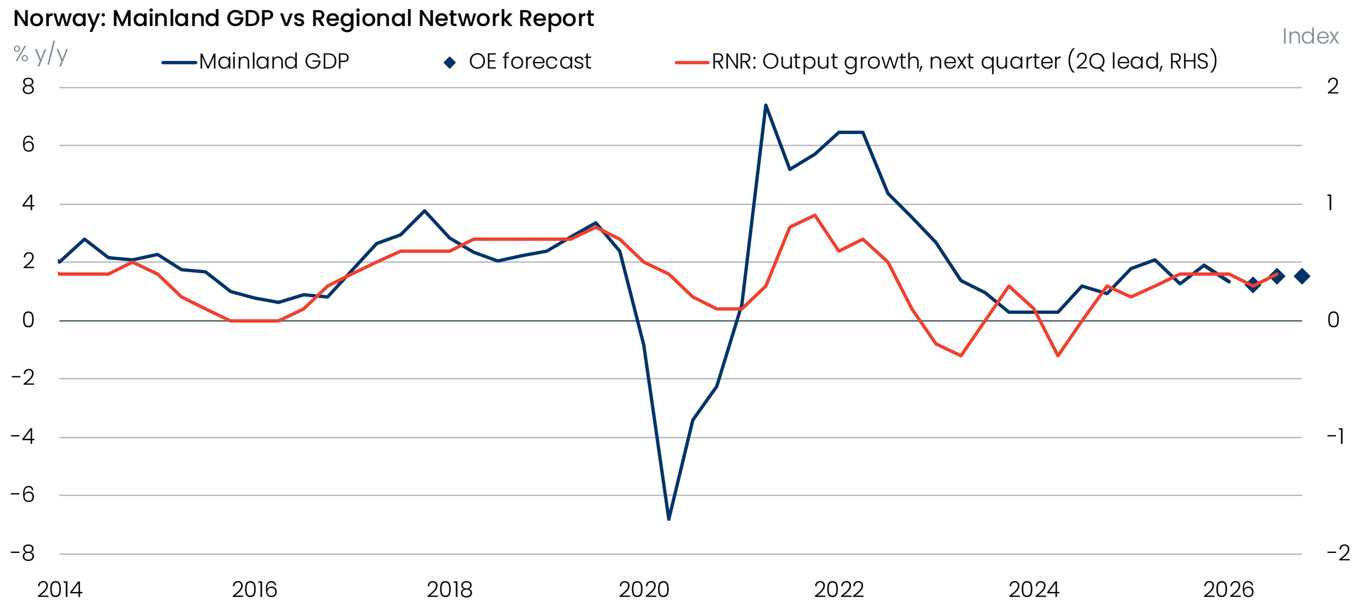
Baseline forecast

Recent developments

Mainland economic growth disappointed in Q1, rising by only 0.16% q/q. But this was exacerbated by volatility in specific sectors such as electricity generation and frontloaded electric vehicle purchases ahead of tax changes taking effect at the start of 2026. Although growth was also revised down in H2 2025, we don't think the picture for near-term economic growth has changed dramatically.

Retail spending recovered somewhat in April after slowing in February and March. Goods spending growth appears to be normalising after a period of very strong growth since early 2024, with spending now shifting more into services. Consumer confidence has weakened in recent months, but spending has often defied movements in confidence data in recent years, so we're cautious of reading too much into the impact on private consumption given the labour market's solid fundamentals.

Chart 1: Mainland GDP growth will hover around 1.4% this year



Sources: Oxford Economics, Haver Analytics

Short-term outlook

Although annual mainland GDP growth will slow slightly this year, quarterly growth will likely average 0.4% q/q, higher than the Eurozone average of 0.1%. Real household income should still rise robustly despite above-target inflation, while fiscal policy remains loose compared with the rest of Europe. Tighter-for-longer monetary policy is a constraint, but the economy has proven very resilient to high interest rates in recent years.

Policy assumptions

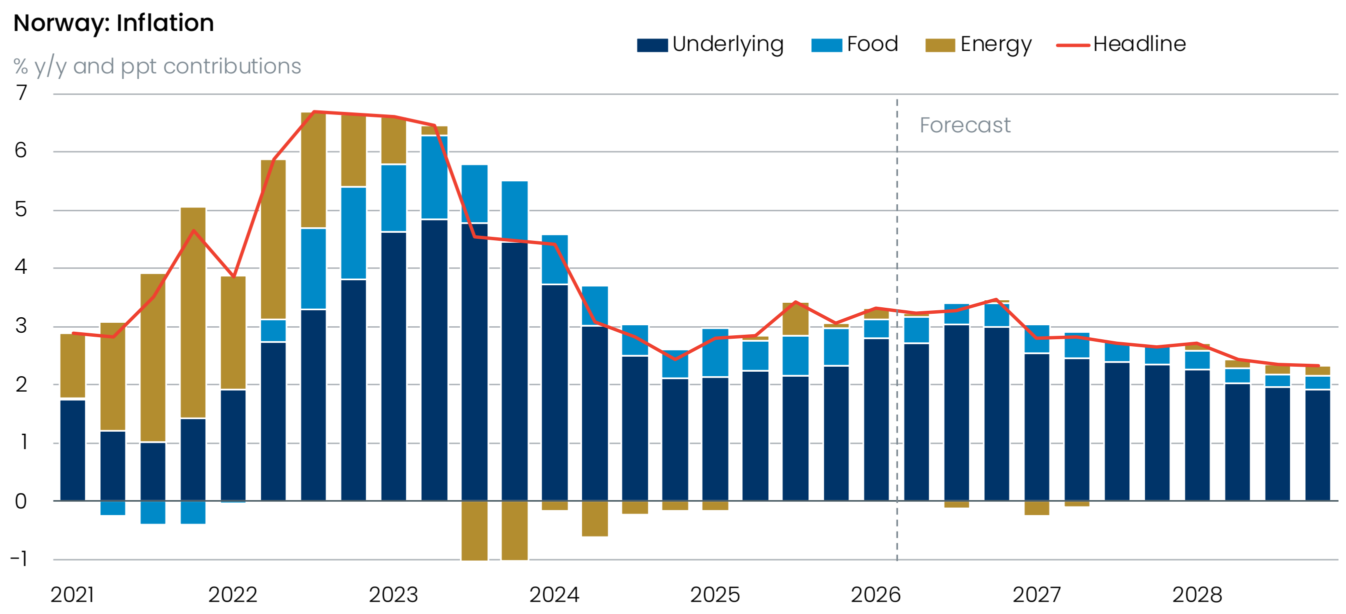
Fiscal policy. After several years of a large positive fiscal impulse, the structural non-oil deficit will narrow this year but remain supportive of growth. The government isn't allowed to withdraw more than 3% of the capital value of the sovereign wealth fund in each fiscal year. But with the fund now valued at over seven times the size of the mainland economy, the primary fiscal constraint is the risk of fiscal policy contributing excessively to inflation.

Monetary policy. Norges Bank is concerned about the inflation momentum at the start of 2026 leading to a lasting de-anchoring of inflation expectations. Higher fuel prices and the risk of supply disruptions feeding into core inflation encouraged the central bank to hike earlier than expected in May to 4.25%. We now expect another rate hike – likely in September – based on the communication from the central bank at its June meeting. These rate hikes should be reversed in H1 2027, but the path for the policy rate over the coming years will be 75bps higher than our previous forecast.

Key drivers of our short-term forecast

Another year of above-3% inflation. We continue to expect inflation to average 3.3% in 2026, thanks to robust core inflation momentum. Food inflation will soften from last year. Energy prices will rise at a similar pace to 2025 as the conflict in the Middle East applied some upward pressure. However, the impact has been smaller than that on other European countries thanks to Norway's green energy mix and the high uptake of fixed electricity contracts by households since October under the government-subsidised Norgespris scheme. Underlying inflation is likely to hover close to 3% throughout 2026 and ease only slowly thereafter.

Chart 2: Headline inflation will average 3.3% this year

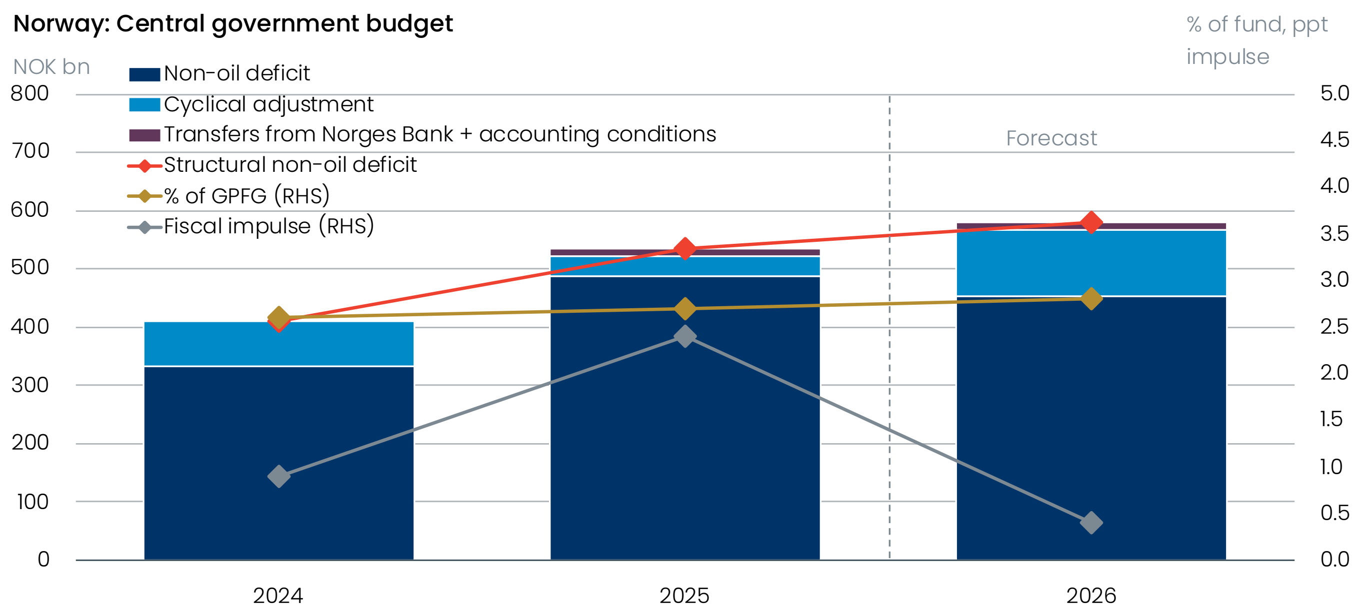


Sources: Oxford Economics, Haver Analytics

The labour market is holding firm. Registered unemployment remains consistently low at around 2%, with labour market fundamentals holding strong. Layoffs have remained consistently low in recent years, while the ratio of vacant positions to unemployment has fallen consistently after peaking in 2022. Strong labour supply growth in recent years has resulted in regional network contacts reporting significant improvement in labour shortages. Although we expect the repercussions of the Middle East conflict to have a slight impact on hiring intentions, we expect the labour market to hold strong and continue supporting private consumption.

The fiscal impulse will soften but remain supportive of growth. The 2026 budget proposes additional nominal and real-terms increases in the structural non-oil deficit, but to a lesser extent than in 2025. We expected the level of fiscal support to fall given the stubbornly high inflation outlook, which has now become the main fiscal policy constraint, given the massive size of the oil fund. Nevertheless, we expect the budget to remain supportive of growth in the near term and to provide an important offset to the still-tight monetary policy stance.

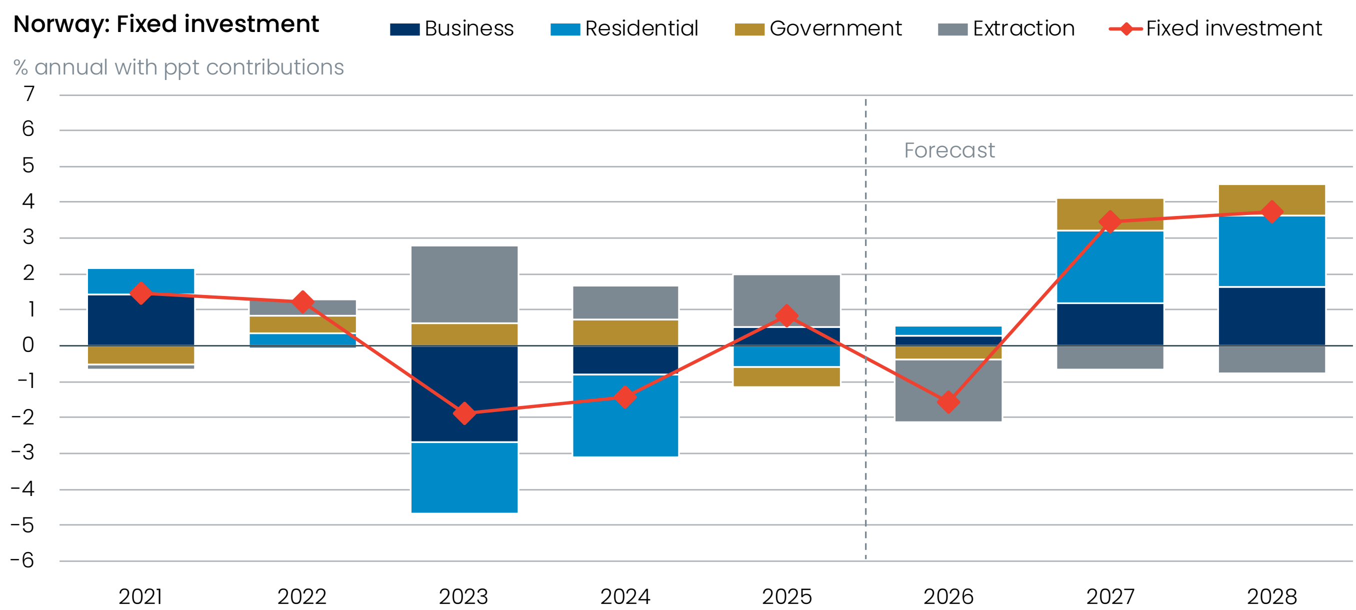
Chart 3: Fiscal impulse will soften this year



Sources: Oxford Economics, Finansdepartementet

High rates and uncertainty will keep weighing on private sector borrowing. Although recent rate cuts have quickly fed into financial conditions due to the high prevalence of variable-rate debt in the private sector, Norges Bank's monetary stance is still highly restrictive and will tighten again in the near term. Ten-year government bond yields are also being kept elevated by high geopolitical and economic uncertainty, and relatively high domestic inflation. The fall in housing investment looks to have ended, but there's a long way to go until it recovers. Elevated business uncertainty will also temper the rebound.

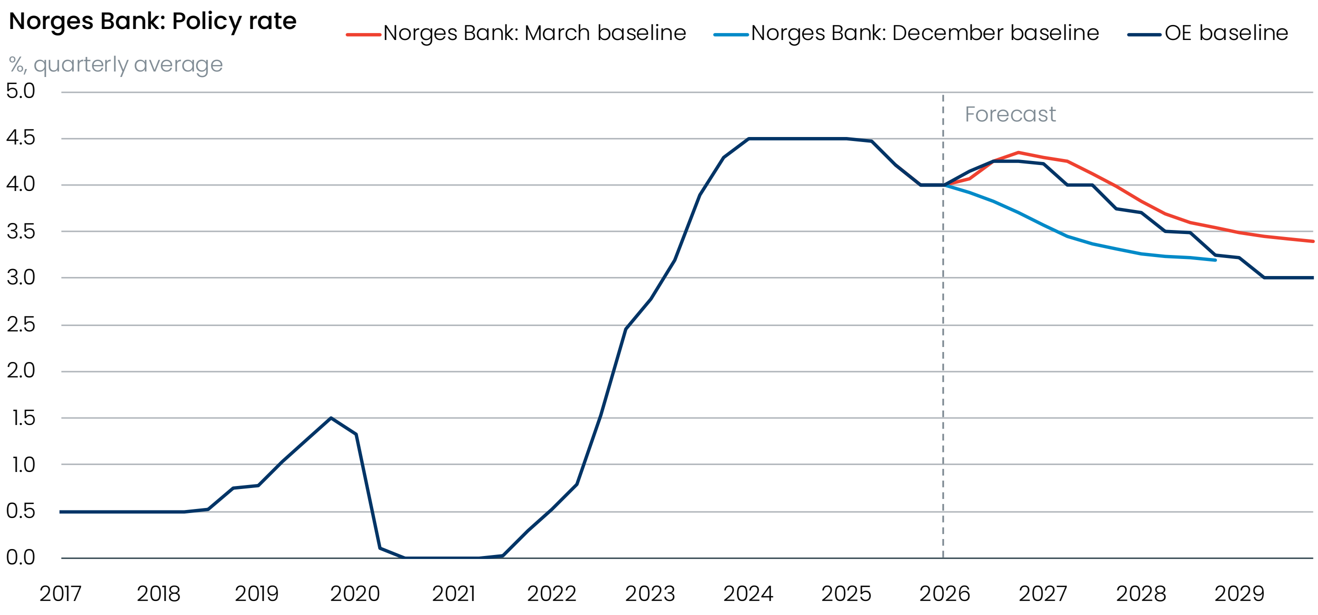
Chart 4: The recovery in fixed investment will materialise more meaningfully in 2027



Sources: Oxford Economics, Haver Analytics

Norges Bank has reversed its easing. Norges Bank's communications at its March meeting were hawkish (Chart 5). The escalation of the conflict in the Middle East likely reinforced its concerns about pre-existing inflation momentum risking a de-anchoring of inflation expectations. The bank has already hiked earlier than we expected in May and, following a hold in June, it's now very likely to hike the policy rate again this summer. Even with some signs of a resolution to the war, Norges Bank is keen to flag its hawkish credentials and reassure markets of its commitment to tackling inflation. The risks to our rate path view are now more balanced, but we don't expect policy to loosen rapidly next year.

Chart 5: Norges Bank is set to hike again this summer



Sources: Oxford Economics, Haver Analytics

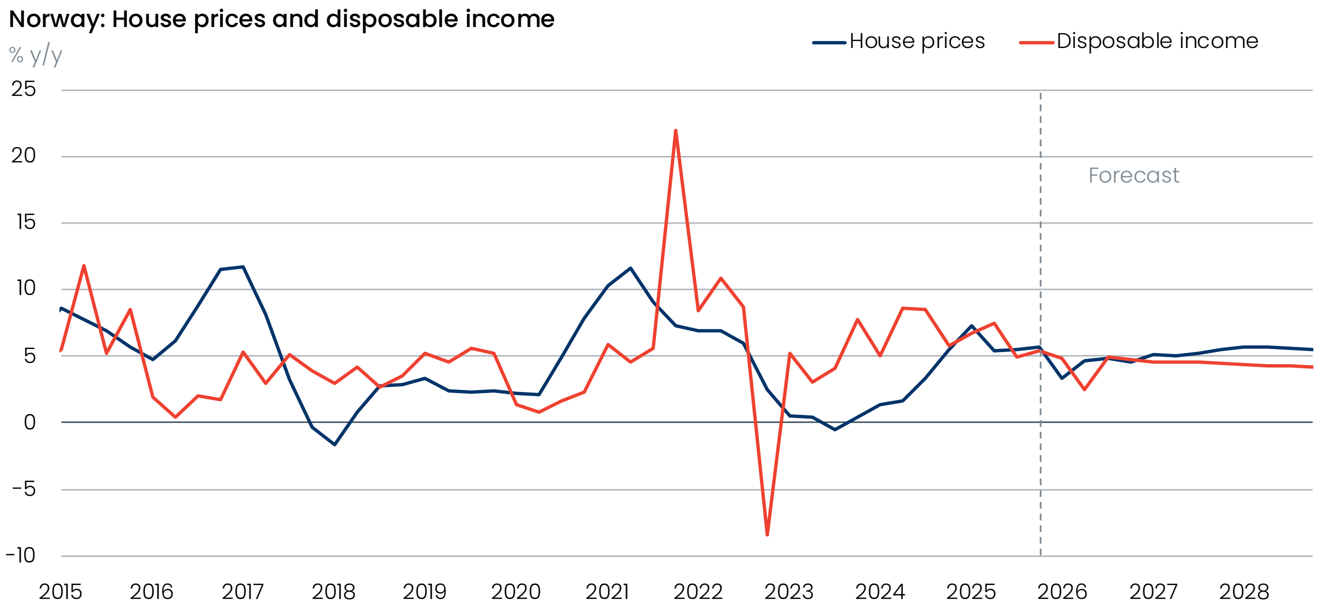
What to watch out for

Tight financial conditions. Although Norges Bank was ahead of other advanced economy central banks in raising rates, interest rates have climbed globally amid rising inflation. Rapid monetary tightening has reduced inflation, but at the expense of economic growth. The bank has maintained an exceptionally hawkish bias due to the weak currency and stubborn core inflation, meaning it started to cut rates long after peer central banks and is tightening policy again. This will keep financial conditions tight.

Volatility in oil prices. The geopolitical tensions in the Middle East and global trade policy uncertainty are significant risks to oil price stability. Since the US announced higher tariffs, the krone has been unstable in response to the rapidly changing investment environment. If oil prices fall more quickly than our current forecast, this could affect the profitability of Norway's extraction-related investments over the next few years. And depreciative effects on the currency from lower oil prices would delay the return of core inflation to the central bank's target.

House prices. House prices surged during the pandemic. Banks are exposed to a slowdown in property prices as a high proportion of their loans are in residential and commercial real estate, given the highly bank-centric nature of corporate funding. Norway's banks have a relatively high reliance on bond markets for funding. So, a property shock could hit the value of banking assets and lead to a surge in funding costs as lenders lose confidence in the region. But house price growth should pick up over the coming years as mortgage rates fall.

Chart 6: Delayed monetary policy loosening will result in a more gradual uptick in house price growth

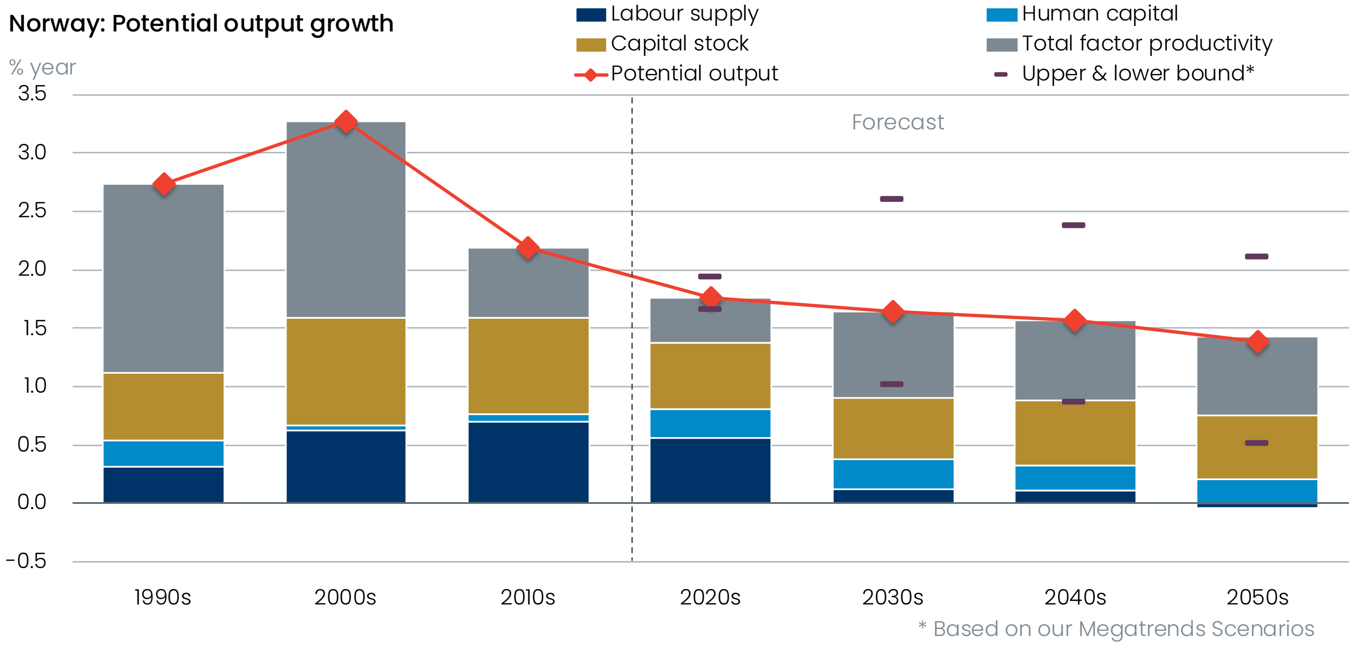


Sources: Oxford Economics, Haver Analytics

Long-term prospects

Norway's long-term economic fundamentals are stable. We see potential mainland growth slowing over the coming decades, but only marginally, bolstered by strong productivity growth and investment.

Chart 7: Potential growth will slow, but only marginally



Sources: Oxford Economics, Haver Analytics

Low borrowing costs and strong investment in the oil sector and related infrastructure have underpinned gains in capital spending in recent years. Moreover, mainland business investment and higher infrastructure spending will support capital spending.

We expect the contribution from the labour force to weaken over the next decade as the population ages. But Norway's demographics are more favourable than those of many of its European peers, with low unemployment and high wages boosting net migration. In the long term, Norway's large oil pension fund will help offset the impact of an ageing population on the government's finances and spread oil wealth across generations.

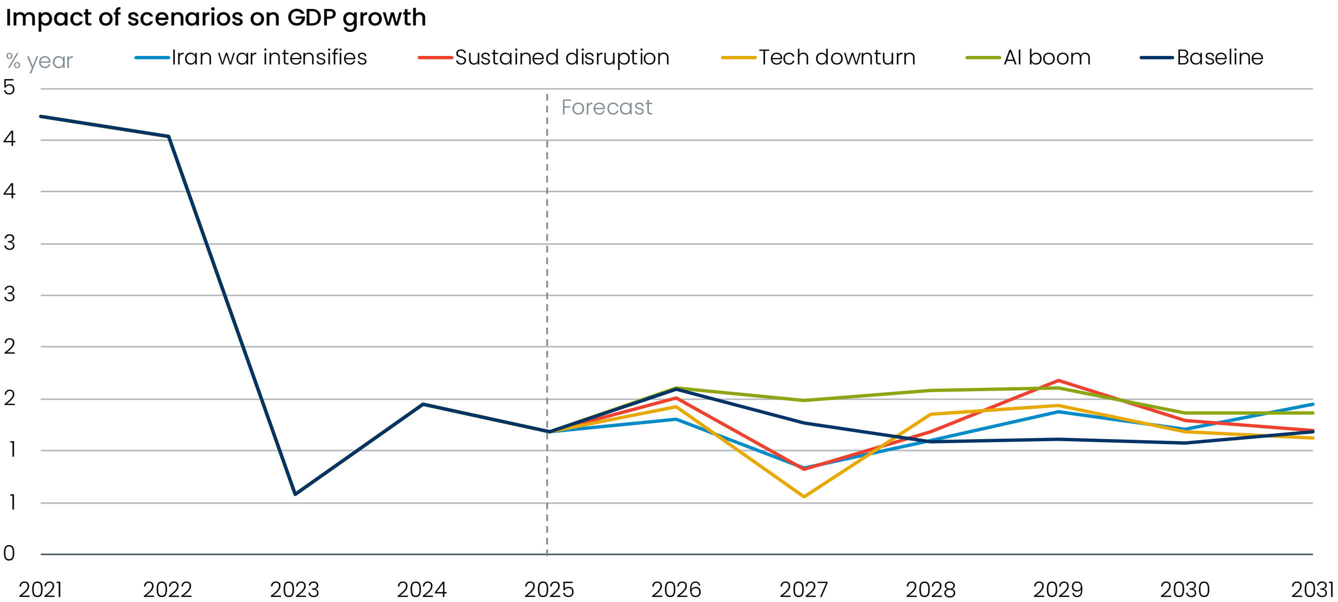
We estimate that the AI revolution will add around 2.3ppts to Norway's long-term potential mainland GDP growth by 2050, ranking it as one of the top global adopters of AI. The Norwegian government's National Strategy for Artificial Intelligence will commit NOK1bn to increasing AI research. Research and development as a share of GDP is high but the lowest among the Nordics, although the economy ranks highly on private- and public-sector digitalisation.

Scenarios

Exposure to key global risks

The AI boom. In this scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. The world economy strengthens as robust US growth spills over globally, including to exporters of tech-related products to the US. Productivity gains help keep price pressures in check despite the strength of global demand. For Norway, this raises average GDP growth over 2026-2028 by 0.2ppts.

Chart 8: Risks are skewed to the downside

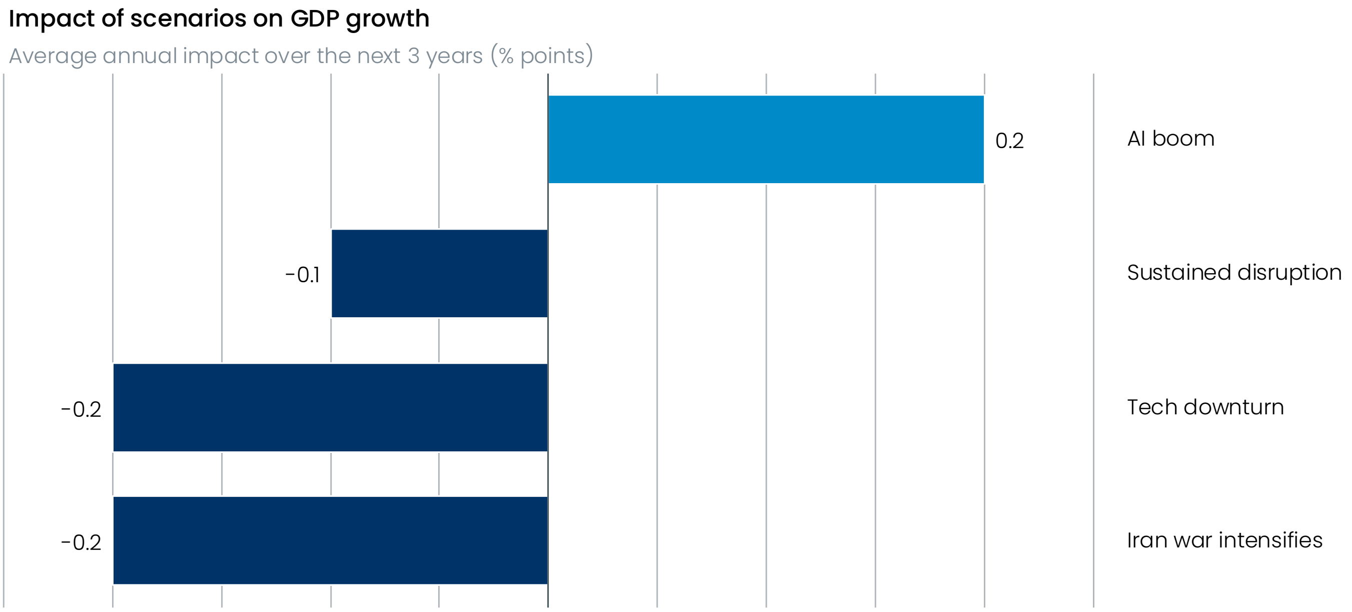


Source: Oxford Economics

Tech downturn. The AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. US growth grinds to a halt during 2026. Exporters of tech-related products to the US are especially hard hit, but economies around the world suffer amid worsening sentiment and a substantial broad-based depreciation of the US dollar. For Norway, this lowers average GDP growth over 2026-2028 by 0.2ppts.

Iran war intensifies. War in the Middle East intensifies in this scenario. The Strait of Hormuz remains effectively closed. in the near term, before starting to reopen during Q4 2026. Alternative shipping routes also come under threat, while extended conflict increases damage to energy infrastructure. As a result, the Brent oil price rises to an average of $163pb in Q3, alongside shortages of refined energy products. Gas prices also spike higher. For Norway, this lowers average GDP growth over 2026-2028 by 0.2ppts.

Chart 9: A worst-case trade war would have the largest adverse impact



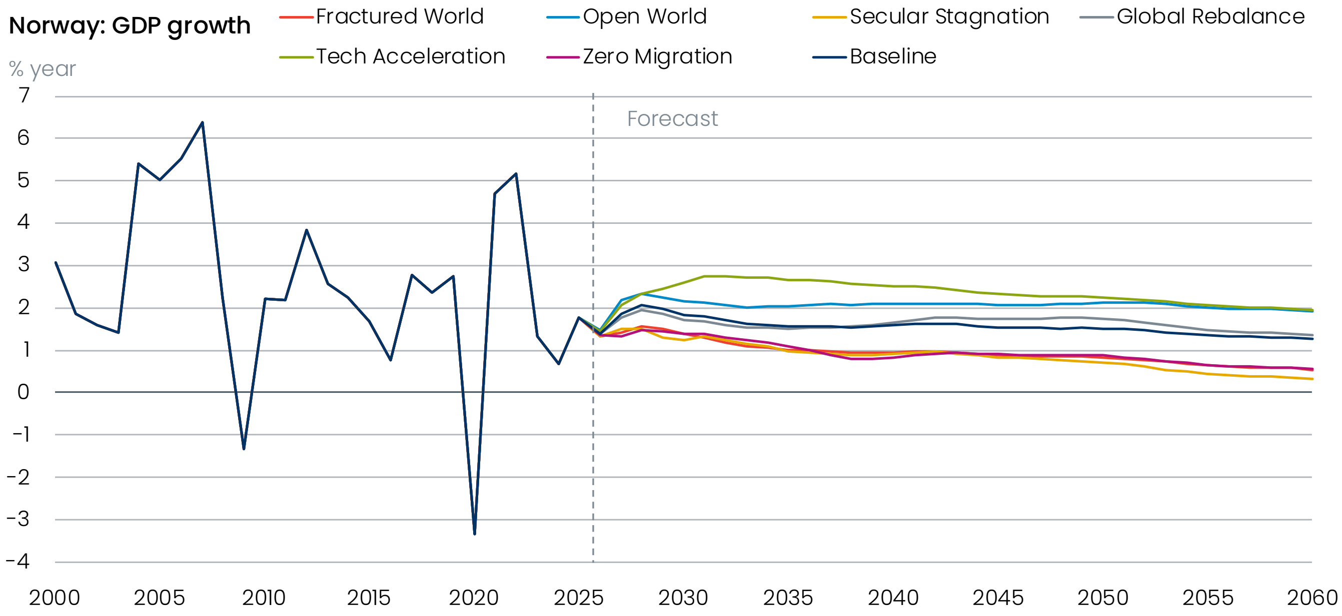
Source: Oxford Economics

Alternative long-run scenarios

Our megatrends scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. Productivity growth strengthens amid a more stable business environment, technological progress, and higher fertility rates, compared with our baseline. Sustained real wage growth increases labour market participation. Annual GDP growth would be 1ppt higher than in our baseline forecast from 2030-2060. Nominal and real interest rates would also be higher.

Chart 10: Technological revolution and fractured world are the key long-term scenarios



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound the impact on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Norwegian mainland GDP grows by 0.7ppts a year less than in our baseline forecast from 2030-2060, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

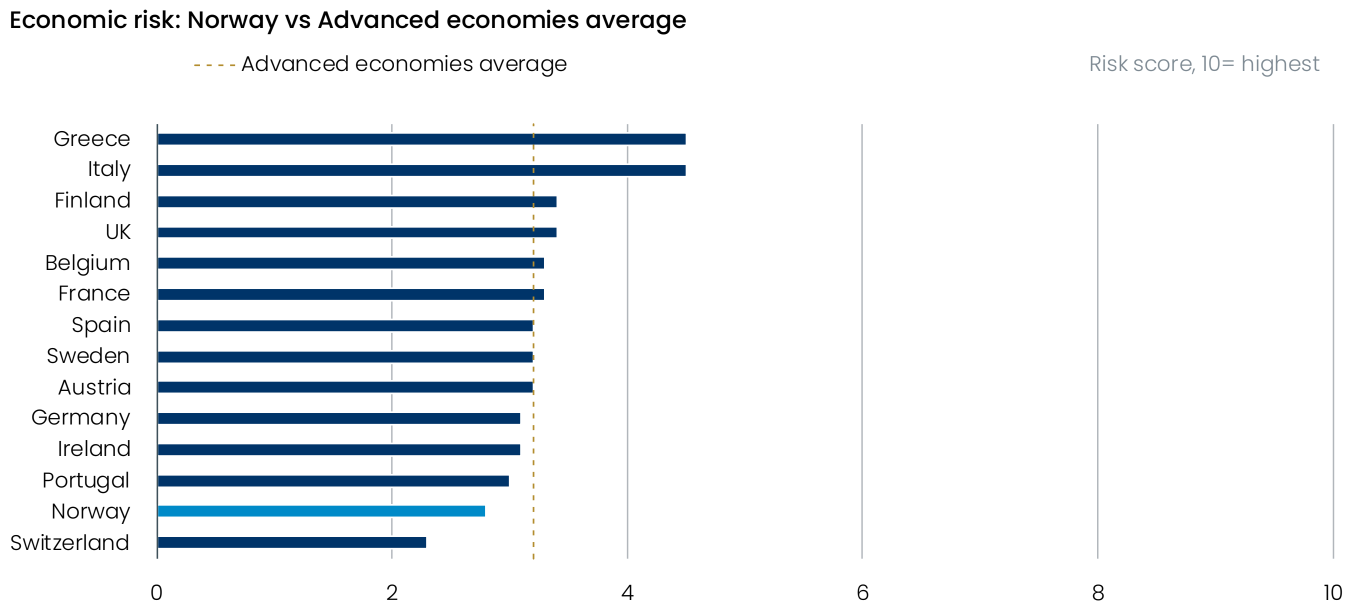
	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	2.8	0.0	7
Market demand	5.0	0.0	56
Market cost	1.0	0.0	1
Exchange rate	4.5	0.1	112
Sovereign credit	2.7	0.1	9
Trade credit	1.0	0.0	1

Source: Oxford Economics

Overall risk for Norway: 2.8/10

Norway's low overall economic risk score of 2.8 is better than the European average, ranking it seventh out of 164 countries in our survey.

Chart 11: Economic risk in Norway is very low



Sources: Oxford Economics, Haver Analytics

The Norwegian economy endured a substantial adjustment following the collapse of oil prices in 2014-2016, requiring supportive monetary and fiscal policies. The pandemic caused mainland GDP to contract in 2020, but the decline wasn't as severe as in other advanced economies. Since then, economic growth has been gradually improving following the 2022-2023 energy crisis. Norway’s unique position as a significant oil and natural gas exporter and the large sovereign wealth fund mean the government has ample resources to protect the economy against external shocks.

Market demand: 5.0/10

The market demand risk score is relatively high at 5.0, reflecting weak global oil prices since 2014, which have affected Norway’s key commodity.

Improving the score would depend on two factors. First, it would require a return to higher oil prices, making Norway's oil reserves more profitable , spurring output of its main source of income and driving investment. Second, it would need a shift away from Norway's traditional reliance on the oil sector, which is a key government policy objective.

Market cost: 1.0/10

The market cost risk score is extremely low at 1.0, ranking the country first out of the 164 we cover.

We think Norway's economic prospects for businesses will remain solid as the government can use its sovereign wealth fund to smooth out economic cycles. The government is committed to policies that minimise the cost of doing business, such as reducing the corporate tax rate. The Norwegian krone recovered after depreciating sharply during the pandemic, supported by high oil and natural gas prices, but has weakened to a historical low versus the US dollar. Due to broad US dollar strength, the krone will remain weak over the near term, raising the cost of imports.

Exchange rate: 4.5/10

The exchange rate risk score is 4.5, above the advanced economies average, reflecting the krone's depreciation in recent years, high volatility due to its exposure to global oil prices, and relative illiquidity compared with other G10 currencies.

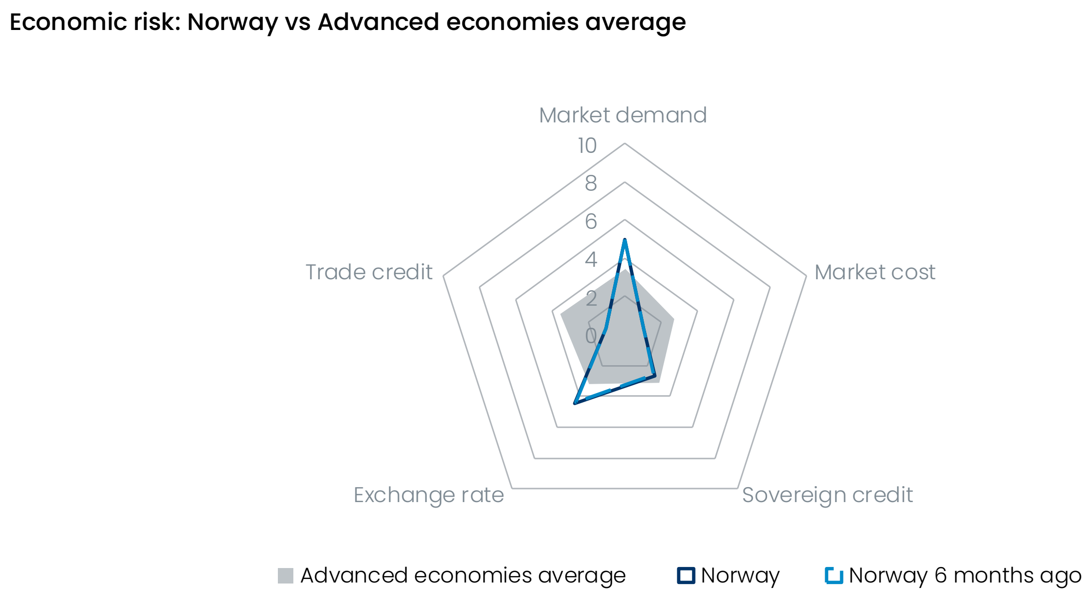
The Norwegian krone has depreciated in recent years despite rises in oil and natural gas prices, reflecting its status as a risk-on currency during times of global economic uncertainty. But the currency has appreciated versus the US dollar since the rise in global trade tariffs. We still think its significantly undervalued given elevated global commodity prices, Norges Bank's tight monetary policy stance, and Norway's relatively robust long-term growth potential. Therefore, we expect NOK/USD to appreciate in the long run towards our behavioural equilibrium exchange rate estimate of $7.

Sovereign credit: 2.7/10

The sovereign credit risk score of 2.7 remains incredibly low. Norway has the world's largest sovereign wealth fund, amassed from the sensible management of oil revenue over more than 30 years, leaving the government's risk of defaulting close to zero.

Norway has strong institutional structures that ensure its financial reserves won't be depleted, with Norges Bank diverting oil and natural gas revenue into the fund on behalf of the government. The government has fiscal rules to safeguard spending from exceeding 3% of the fund annually, outside of a major crisis. This coincides with its estimated long-term growth rate, ensuring the fund doesn't decrease in size.

Chart 12: Apart from market demand, Norway scores well



Source: Oxford Economics

Trade credit: 1.0/10

Trade credit risk – a measure of private-sector repayment risk – is still just 1.0, the lowest of all 164 countries we monitor. This reflects Norway's low levels of corporate debt, little prospect of government interference, and easy financing conditions.

Norway has been a member of the European Economic Area since 1994 and has had stable trade relations with its key trading partners for more than 20 years. This is unlikely to change anytime soon. Regulatory standards are light and not overly burdensome, and credit conditions are loose.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see Economic and Political Risk Dashboard. Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. Find out more.